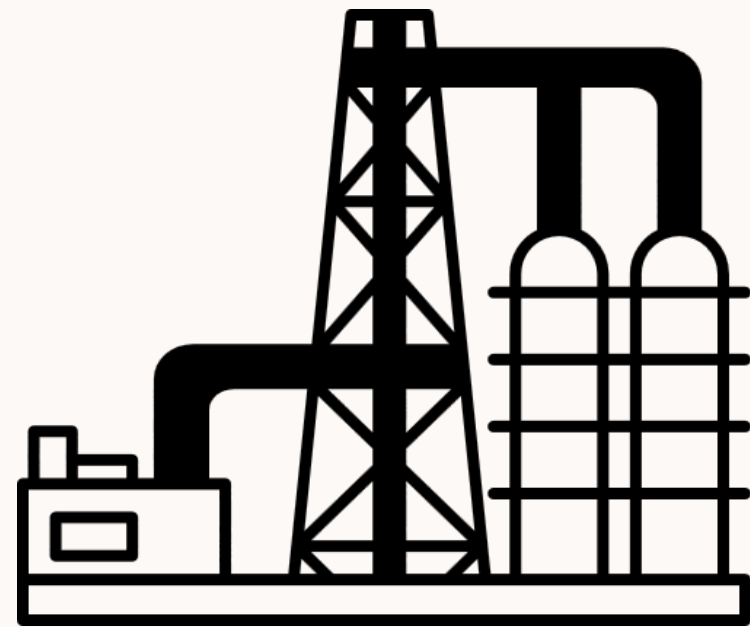
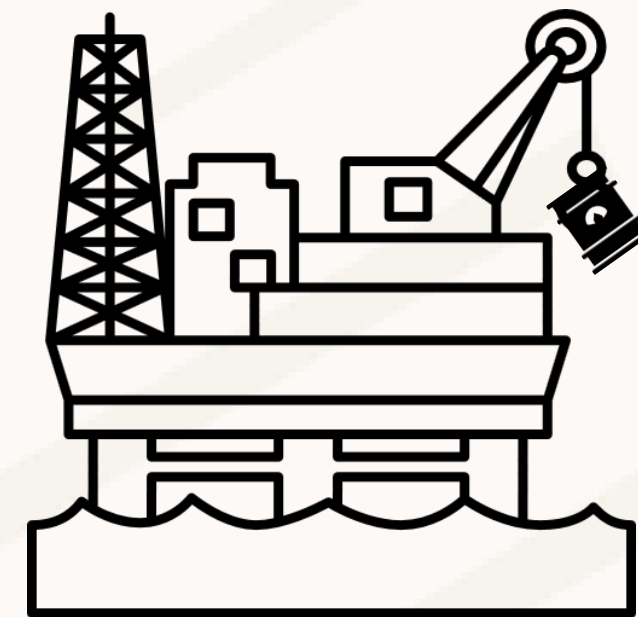


AJX INC. Initiates a Strong Buy:



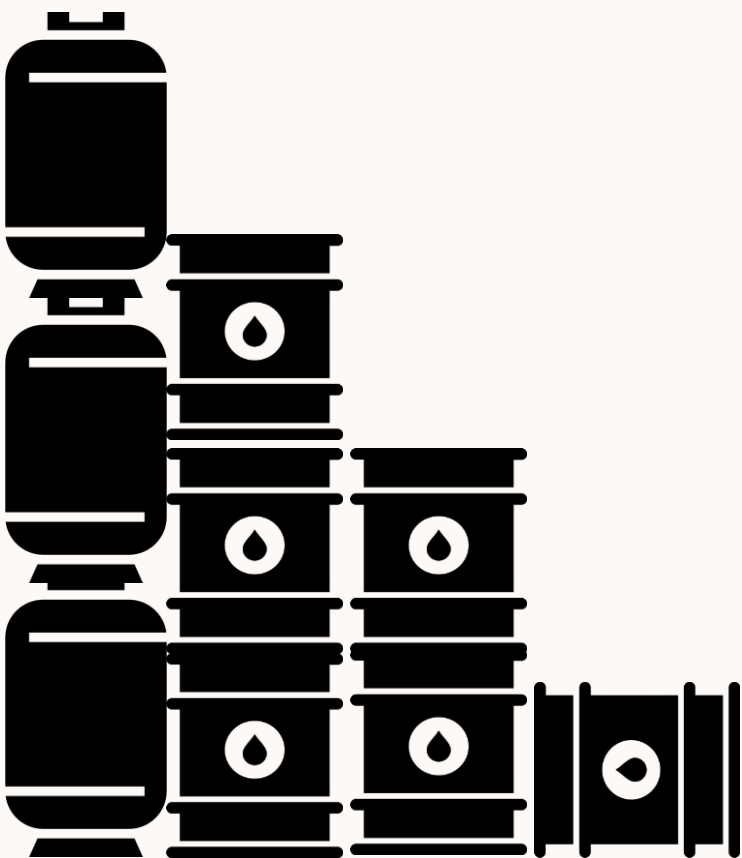
APA
Corporation



Diamond in the rough, or just another barrel of oil?

XNAS: APA

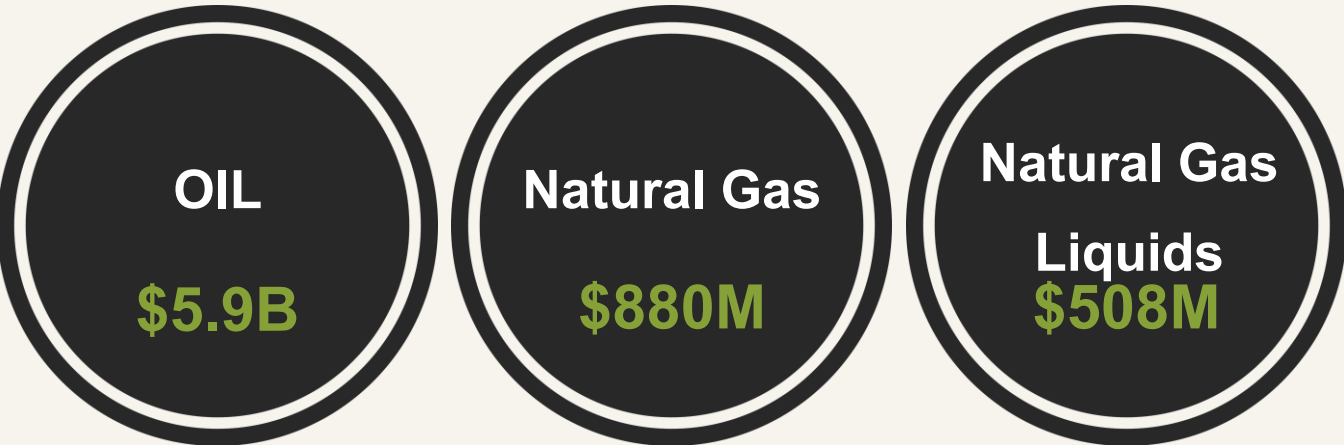
\$24.05



APA's Price to Book value and Price to Sales values are comparable to COVID numbers despite Revenue doubling indicating undervaluation



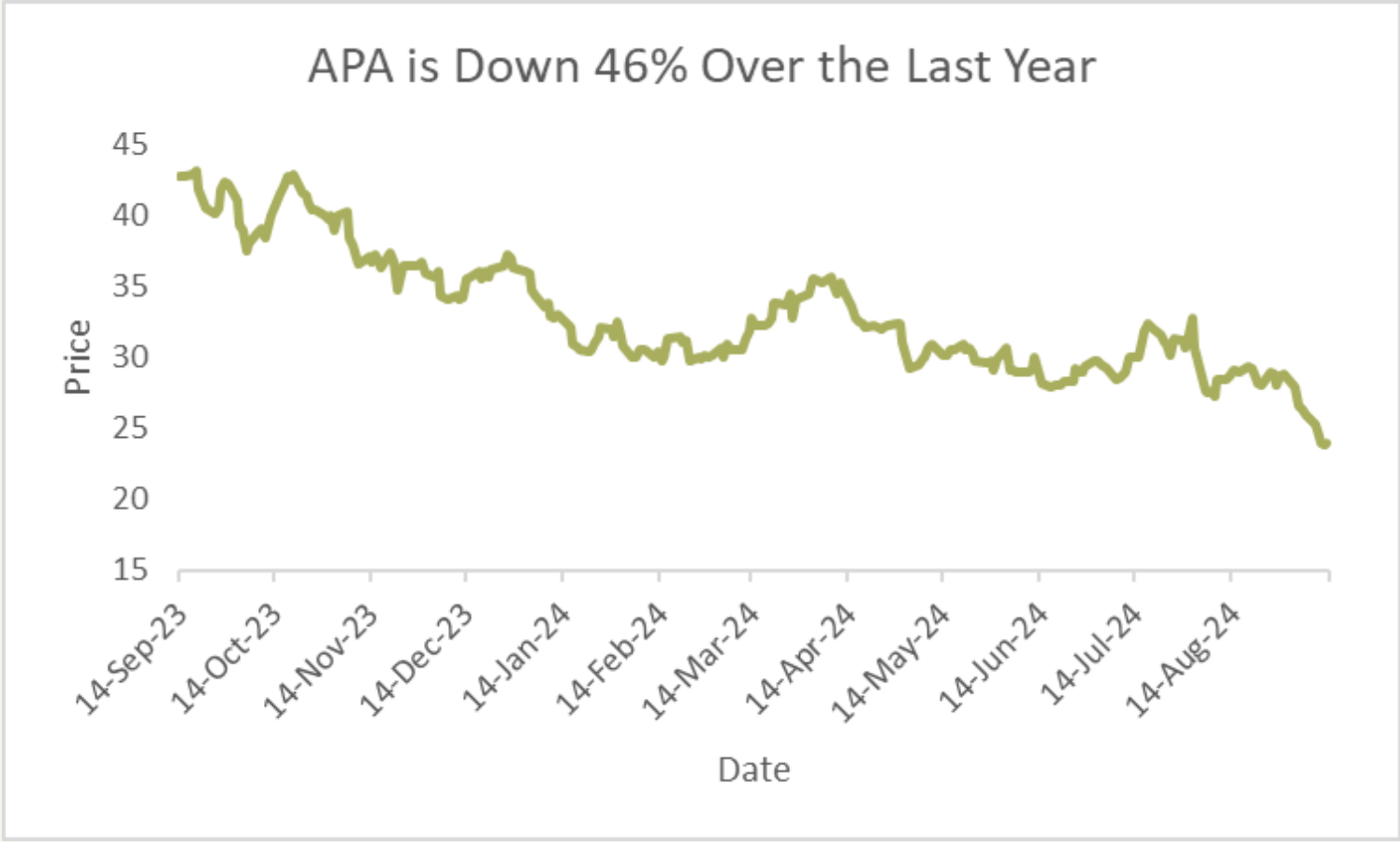
2023



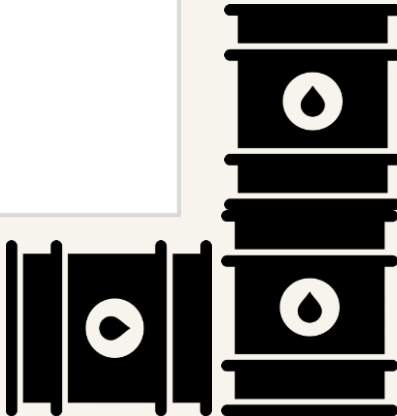
2024



METRICS	Sep. 2023	Sep. 2024
Price to Book Value	5.98	1.36
Market Cap	\$11.59B	\$8.86B
Revenue	\$9.21B	\$8.765B
EBITDA	\$5.89B	\$5.42B



Indicates Potential for
Upside



2024 Assumptions

2023

2024

APA Daily Barrel Production

70,000

198.6%

139,000

Average Oil Price

\$62

12.9%

\$70

APA Stock Price

\$35

28.6%

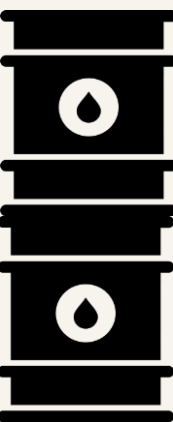
\$25

Mergers and Acquisition

1) APA acquired Callum Petroleum in an all-stock transaction valued at \$4.5 billion.

2) APA's oil-prone acreage in the Midland and Delaware Basin increased by over 50%. due to this transaction.

3) Acquisition boosted oil equivalent production by 25% barrels per day.





Commodity Price Volatility

Impact - APA's revenue and profitability are sensitive to fluctuations in oil and natural gas prices.

Factors - Global supply and demand, geopolitical events, and economic conditions influence prices.



High Debt Levels

Impact - Significant debt can strain cash flows, increase interest expenses, and limit financial flexibility.

Factors - Interest payments, refinancing challenges, and financial covenants.

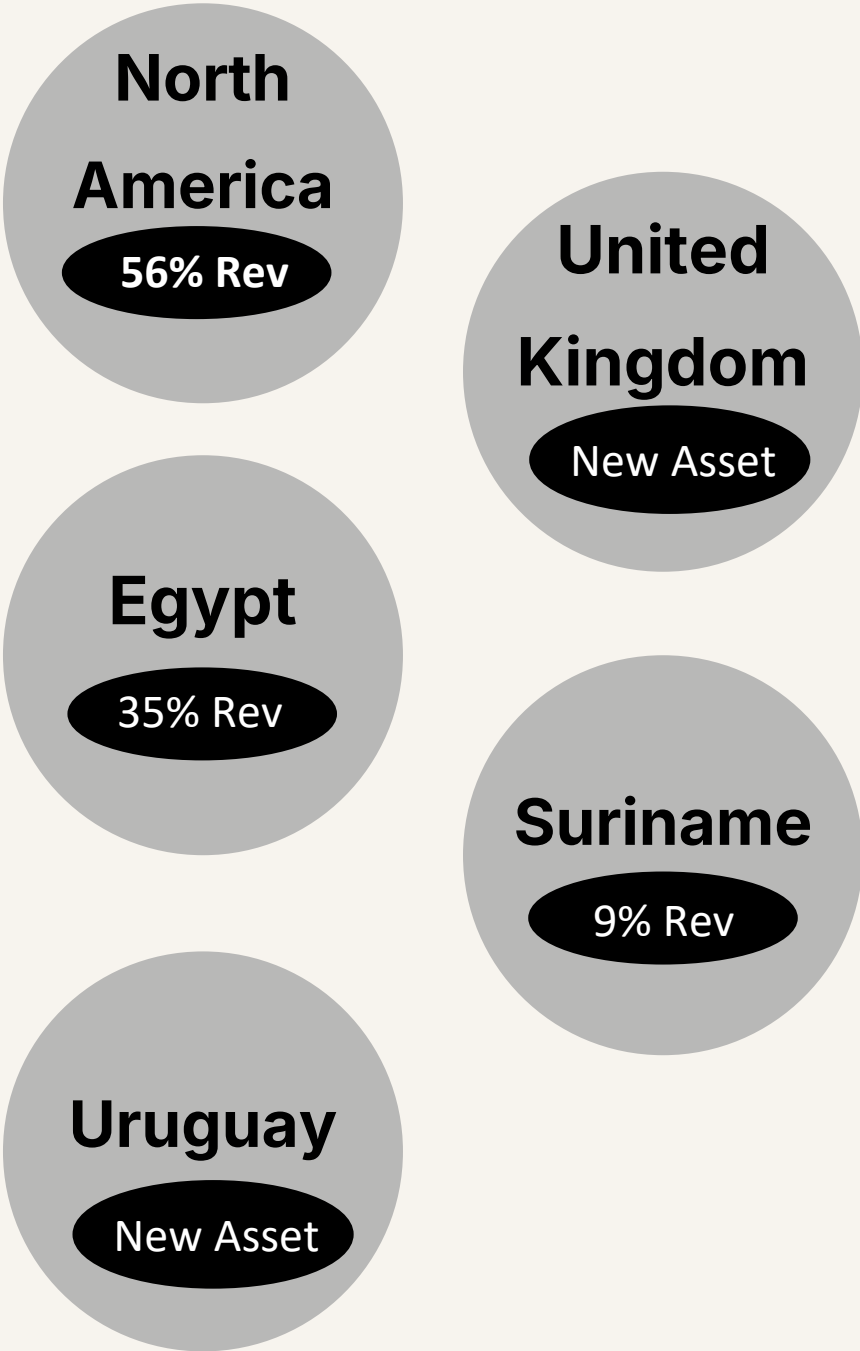


Geopolitical Risks

Impact - International operations expose APA to political instability, regulatory changes, and expropriation risks.

Factors - Disruption of operations, increased costs, and potential asset seizures.

Diversified Locations

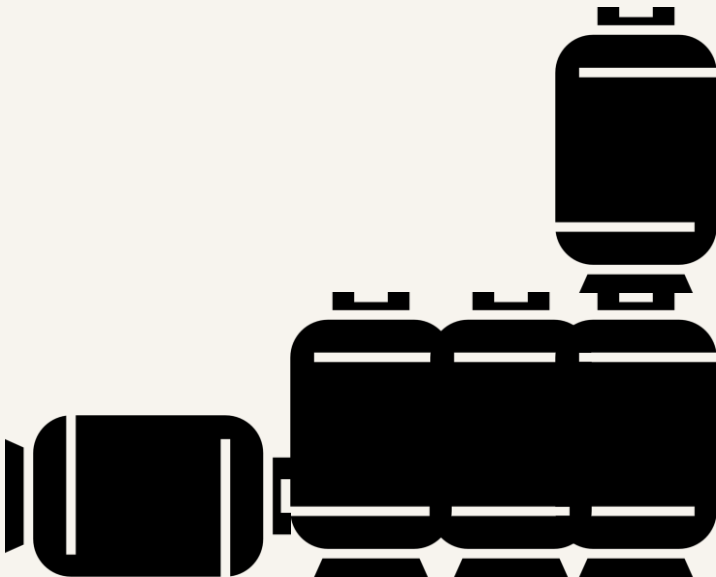


Diversified Products

- Oil
- Natural Gas
- Natural Gas Liquid

Diversified Investments

- Arcadium Lithium: ALTM

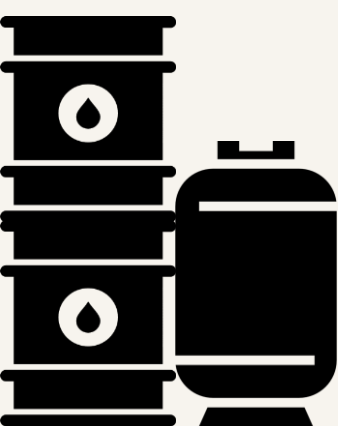


Industry Competitive Analysis

Higher Revenue than Diamondback Energy Corp
(whose market cap is 3x of APA)

Antero Resources produces half the revenue of
APA at the same market cap

APA yields a higher interest coverage ratio (9.86
compared to 9.2) than industry average.



Market Comparables Analysis

All from stock analysis and (in millions)

Company	Forward P/E	P/B	P/S	EV/Sales	EV/EBITDA
Diamondback Energy Corp	8.77	1.75	3.45	4.16	5.47
Ovintiv Inc.	5.87	0.99	1.02	1.67	3.51
Chesapeake Energy Corp	24.24	0.92	2.32	2.57	5.37
Permian Resources Corp	7.83	1.06	1.47	3.32	4.68
Antero Resources Corp	14.80	1.18	1.86	2.95	13.39

Equity Value Per Share					
Median	\$ 79.28	\$ 15.54	\$ 44.08	\$ 50.27	\$ 59.06

APA Equity Value Per Share			
	Weights	Values	Expected Value
Forward P/E	0.25	\$ 79.28	\$ 19.82
P/B	0.10	\$ 15.54	\$ 1.55
P/S	0.20	\$ 44.08	\$ 8.82
EV/Sales	0.20	\$ 50.27	\$ 10.05
EV/EBITDA	0.25	\$ 59.06	\$ 14.76
Weighted Equity Value per share			\$ 55.01

Since 2021, APA has returned...

\$2.7 B

Shares
Repurchased

\$735 M

Dividend
Payouts

**\$5.4 B /
64%**

Forward Free
Cash Flow

- APA has exhibited consistent revenue growth, averaging 8.61% YoY growth since 2016
- In 2023, APA finished a \$3.2B bond reduction initiative.
- Alternatively, tangible book rose from -1.6B in 2021, to \$2.6B in 2024, showing APA Corporations commitment to increasing shareholder value.



APA has the potential for an 80%+ move

APA

Estimates

	NTM 2023	2024	2025	2026	2027
Revenue	8279	9185	9436	9712	9537
EBIT	1242	1378	1415	1457	1431
Taxes	310	344	354	364	358
EBIAT	\$931	\$1,033	\$1,062	\$1,093	\$1,073
D&A	41	46	47	49	48
Capital Expenditures	83	92	94	97	95
Change NWC	248	276	283	291	286
Unlevered FCF	889.9925	987.4176	1014.392	1044.04	1025.228

All values in million (M)

Bear:
PT: **\$29.13**
+21%

Base:
PT: **\$44.18**
+84%

Bull
PT: **\$87.28**
+263%

Case By Case Values

Case	Terminal Value	PV (TV)	Enterprise Value	Cash	Debt	Basic Shares
Bear	\$ 29,275.30	\$ 22,042.06	\$ 25,834.84	\$ 160	\$ 5,188	371
Base	\$ 35,430.62	\$ 26,676.55	\$ 31,418.89	\$ 160	\$ 5,188	371
Bull	\$ 53,596.32	\$ 40,353.93	\$ 47,409.52	\$ 160	\$ 5,188	371

All values in million (M)

Decision – Buy APA

APA

1 - Intrinsically undervalued both historically and among peers.

2 - Diverse Portfolio Spanning Multiple Geographic Locations, Market Segments, and Growth through Mergers & Acquisitions.

3 - Increase in barrel production, revenue, redistribution of cash to stakeholders.



**Average Price
Target**



% Change

